MARTIN MARIETTA MATERIALS MLM

October 04, 2026 - 8:14pm EST
by eigenvalue

			2026	2027
Price:	483.00	EPS	0	0
Shares Out. (in M):	71	P/E	0	0
Market Cap (in $M):	34,250	P/FCF	0	0
Net Debt (in $M):	12,750	EBIT	0	0
TEV (in $M):	47,000	TEV/EBIT	0	0

Description

Summary:

I recommend the purchase of Martin Marietta Materials (MLM). It produces aggregates (sand and gravel) and lime in the US. This is a very good business, with incredible pricing power, ability to create value via acquisitions, and selling at a 6.7% free cash flow yield to the equity on my 2028 forecasts and around 8.5% free cash flow yield on my 2030 forecast. I think that this is absurdly cheap for a business that has been able to historically raise prices roughly two percent per annum ahead of inflation, while keeping cost increases below the rate of inflation.

Description of the business

MLM operates in two main segments – construction aggregates and lime.

Industry characteristics

Aggregates

This is an incredible business, with high barriers to entry, limited competition due to cost of transportation versus the price of the product, low threat of substitutes given low price of the goods, demand that is largely price inelastic, and ability and willingness to hike prices ahead of inflation. In 2008, when demand fell 37% the industry still raised prices. Average selling price (ASP) grew at a 4% CAGR from 2000-2024, while CPI grew at 2% per annum, cash gross profits per ton grew at 5% per annum during that time. ASP rose from $7.56 per ton in 2005, which was peak demand year, to $14.77 per ton in 2020, which was 4.5% CAGR, while cash gross profit per ton rose from $2.47 to $5.92 or 6.0% CAGR. This is while CPI was 1.9% CAGR. ASP is around $23 per ton currently. The industry demonstrated this pricing power while volumes fell by 28% from 2005 to 2020 levels, and it seems current volume levels are at the industry 20-year average.

Company has more than eighty-five years of construction aggregates reserves.

Lime

This is also a very good business, very similar to construction aggregates, but with three crucial differences: a) industry is much more concentrated, with the top three industry producers probably accounting for more than 80% of the national market, and given that not every company operates in every region, a typical market probably has a couple of firms with 90%+ market share; b) domestic steel industry accounts for roughly 28% of the demand, and that is certainly more risky than highway construction; c) given the higher price of the product, product can be transported up to four hundred miles vs generally twenty miles for construction aggregates.

Pricing, from reading the last twenty USLM 10-K, seems to come in bursts, rather than slow and steady annual increases demonstrated by construction aggregates.

Company has more than two hundred years of limestone reserves.

Operational performance

Past

2024

On January 12th 2024 the company acquired Albert Frei & Sons, and later in the year bought Blue Water Industries Southeast. In February of 2024, the company divested its Texas cement assets.

Original guidance includes impact from Albert Frei & Sons acquisition, but does not include Blue Water Industries Southeast

1. Original guidance
a. Aggregates: volumes down 2% to up 2%, ASP growth = 10.0%-12.0%, gross profit = $1.61bn-$1.73bn.
b. Magnesia specialties gross profit = $100-$110MM.
2. Actual results
a. Aggregates: volumes were hurt by weather and softening construction demand. Total volumes = 191.1MM down from 198.8MM in 2023, despite major acquisitions. Product revenues = $4.514bn up from $4.302bn, gross profit = $1.449bn up from $1.378bn. Gross profit adjusted for step-up inventory basis was $20MM higher at $1.469bn. ASP was $21.80 up from 19.84, adjusting for acquisitions, it was $22.02 in 2024 vs $19.84 in 2023. Organic mix adjusted ASP was $21.95 in 2024.
b. Magnesia specialties: gross profit = $107MM up from $97MM in 2023.
3. Company spent $855MM in cash on capital expenditures, which included purchase of aggregates reserves, land and processing plants in California.
4. Acquisitions – company spent nearly six billion dollars on aggregates acquisitions in 2024.
a. Albert Frei & Sons
b. Blue Water Southeast – 800MM tons of proven aggregates reserves, 13MM annual aggregates tons shipped, $2.05bn price paid in cash.
5. Debt profile on 12/31/2024: 4.0% weighted average coupon, 15 years weighted average maturity, 100% fixed rate.

2025

1. Original guidance
a. Aggregates: 2.5%-5.5% volume growth, 5.5%-7.5% ASP growth, gross profit = $1.61-$1.71bn.

b. Magnesia specialties: $110-120MM gross profit.
2. Actual results
a. Aggregates: 198.5MM tons up from 191.1MM or 4% in 2024, ASP = $23.30 up 7% from $21.80, revenues = $5.004bn up from $4.514bn, gross profit = $1.677bn up from $1.449bn, gross profit per ton = $8.45 up from $7.58.
b. Specialities: $137MM gross profit, up from $107MM in 2024.
3. Acquisitions & divestitures. Transaction with Quickrete and CRH. Quickrete added 20 million tons of annual production. Deal closed in early 2026. Company also divested its cement assets to Quickrete as part of the asset swap. CRH added 40 million tons of reserves, so probably around 500k tons per year of production, closed in 2nd half of December of 2025.
4. Cash paid for property, plant and equipment additions was $807MM in 2025.

Future

The Lhoist acquisition.

a. Very concentrated industry – top three players account for probably more than eighty percent of the national market. Competition is regional (up to four hundred miles) and given the location of the plants of all the big industry players, it seems that each market is effectively a duopoly.
b. Judging by results of the US lime and minerals (USLM), the only publicly traded lime producer in the US, pricing has been very strong over the past two decades, but it has come in bursts, rather than the annual price increases that characterize the sand and gravel business. According to MLM's presentation, lime PPI is up 328% since 2000, while aggregates PPI is up 230% and CPI is up 90%. MLM's own mine supposedly 5.2% pricing CAGR from 2006-2025, and 7% gross profit CAGR in that time.
c. Dependence on domestic steel production – 28% of revenue.
d. Cost synergies - $85MM per annum, probably low-balled.
e. Revenue synergies – not quantified, but some analysts think $100-$150MM per annum.
f. 2025 saw $1.8bn in gross sales and $786MM in adjusted EBITDA, $50MM per annum maintenance cap ex. 200 years of reserves.
g. Consideration - $7bn in cash and 10.5MM MLM shares, total value = $13.5bn.

2026 projected results

1. Original guidance:
a. Aggregates: 1.0%-3.0% volume growth, ASP growth of 4.0%-6.0%, gross profit of between $1.81bn to $1.90bn, 8% increase in gross profit per ton to $9.16. (This did not include acquisition of NFM and Quickrete assets, which increased annual production by 15% or 30 million tons. Quickrete closed on 02/23/2026 and NFM on 05/15/2026.)
b. Specialties business: gross profit of $150-$170MM. (There was an acquisition in 2025 in this segment.)
c. Cap ex for the firm as a whole = $550-600MM.
d. Total EBITDA from continuing operations, and before impact of acquisitions = $2.16bn-$2.31bn.
2. Revised guidance post Q1 results and closing of Quickrete asset exchange: $2.36-2.5bn of EBITDA from continuing operations. Organic volume growth of 1.0-3.0%, reported volume growth of 11.0%-13.0%, ASP growth of 1.5%-3.5%, organic ASP growth 4.0%-6.0%.
3. Revised guidance post Q2 results and closing of NFM
a. Revenue forecast raised to $7.3bn at mid-point, but EBITDA is **UNCHANGED at $2.43bn at mid-point, so margin is down sharply.** Company stated that the contribution from NFM would essentially offset higher fuel costs, so roughly $75MM in higher fuel costs.
b. ASP for aggregates down 2% in Q2 2026, and gross profit per ton down 17% to $6.78 from $8.15. On a mix-adjusted basis, ASP were up 4.0% and gross profit per ton was $7.62.
4. My guess
a. Diesel and higher fuel prices impact = $75-100MM.
b. Total EBITDA from existing business excluding Lhoist acquisition will equal $2.36bn.

2026 pro-forma results

a. Cost of higher fuel and oil related products to be recovered – roughly $75-100MM.
b. Increasing prices at acquired Quickrete, CRH and NFM operations, supposedly $5-10 per ton, so $150-300MM. Some of is geographic and product mix, so let's say $5 per ton or $150MM, straight to EBIT & EBITDA line.
c. Receiving the benefit of NFM operations for the full year rather than seven and a half months. Probably another $15-20MM.
d. $350MM of annualized cash flow improvements as the company optimizes its evolving asset base, network footprint, and sustaining capital requirements. I will assume $100MM in operating expenses reduction.
e. Lhoist acquisition, assuming the transaction happened on 01/01/2026 and $85MM of cost synergies were realized on 01/01/2026, and higher fuel costs were passed through = $925MM of EBITDA less $50MM of cap ex or $875MM of EBIT.
f. Maintenance cap ex for the non-Lhoist business, at 8.6% of revenue = $630MM. Cap ex averaged 8.6% of revenues for more than a decade.
g. Pro-forma summary:
1. Normalized 2026 EBITDA = $2.36bn + $75MM+$150MM + $15MM + $100MM + $925MM = $3.625bn.
2. Normalized cap ex = $680MM.
3. Normalized EBITDA – maintenance cap ex = $2.95bn.
4. Normalized interest = $5.25bn * 4% + $6.25bn * 5.6% = $575MM
5. Normalized taxes at 20% = $475MM
6. Normalized free cash flow to the equity = $1.9bn or $26.70 per share.

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2027 forecast

a. Assumptions
1. Price increase of 7.0%-9.0%. (3-5% regular price increase, and additional 4% is a combination of $75-100MM to recover higher fuel related costs and $150MM to bring newly acquired CRH, Quickrete and NFM prices in-line with the rest of the company.)
2. Gross profit per ton of aggregates reaches $8.85 per ton, (pre-impact of Quickrete, NFM and higher fuel prices, company guided to $9.16 for 2026), compared to the 2025 level of = $8.45, before taking into account $100MM of realized expense benefits from optimizing the business referenced in Q2 2026 CEO letter.
3. Pricing for recent acquisitions – CRH (December 2025), Quickrete (February 2026) and NFM (May 2026) achieves company averages.
4. $100MM realized expense reduction referenced in Q2 2026 CEO letter and conference call.
5. Original business, pre-Lhoist acquisition:
a. aggregates gross profits = 230MM * $8.85, before benefit from optimization
b. other building materials gross profit = $85-$115MM
c. specialties gross profit = $200MM,
d. $100MM of cost benefits from optimization
e. SG&A/Corporate = $450MM
f. DD&A = $770MM
g. EBITDA total = $2.76bn, maintenance cap ex = $650MM
h. No bolt-on acquisitions are assumed.
i. All free cash flow is used to pay down debt, no dividends or share repurchases.

Lhoist: $786MM (2025) EBITDA grows to $950MM after $85MM of cost synergies, $50MM of cap ex.

6. Firm total: $3.71bn of EBITDA, $700MM of cap ex, $500MM of normalized interest, $505MM of taxes, free cash flow = $2.0bn or $28.17 per share.

2028 forecast

a. Assumptions
1. Price increases in aggregates = 4.0% at the mid-point, ASP = $27.08
2. Shipment tons = 230MM
3. Gross profit per ton in aggregates becomes = $10.85 (assumes 2% cost increase.)
4. Gross profit from other building products = $105MM
5. DD&A, excluding Lhoist business = $770MM
6. Lhoist business, pre-synergies, grows EBITDA at 5% per annum in 2026, 2027 and 2028, $210MM of synergies captured.
7. Corporate costs = $460MM
8. All free cash flow in 2027 and 2028 is used to pay down debt.
9. Tax rate = 20%.
10. Maintenance cap ex = $720MM
11. No bolt-on acquisitions

b. Total EBITDA = $4.050bn
c. Free cash flow: $4.05bn (EBITDA) - $720MM (cap ex) - $450MM (interest) - $576MM (Taxes) = $2.3bn or $32.45 per share.

2029 forecast

a. Assumptions
1. Price increases in aggregates = 4.5% at the mid-point, ASP = $28.30
2. Shipment tons = 230MM
3. Gross profit per ton in aggregates becomes = $11.75, as COGS grow at 2.0%
4. Gross profit from other building products = $110MM
5. DD&A, excluding Lhoist business = $770MM
6. Lhoist business, pre-synergies, grows EBITDA at 5% per annum in 2026, 2027, 2028 and 2029, $210MM of synergies captured.
7. Corporate costs = $470MM
8. All free cash flow in H2 2026, and years 2027, 2028 and 2029 is used to pay down debt.
9. Tax rate = 20%.
10. Maintenance cap ex = $740MM
11. No bolt-on acquisitions

b. Total EBITDA = $4.34bn
c. Free cash flow: $4.34bn (EBITDA) - $740MM (cap ex) - $350MM (interest) - $650MM (Taxes) = $2.6bn or $36.62 per share.

2030 forecast

a. Assumptions
1. Price increases in aggregates = 4.5% at the mid-point, ASP = $29.57
2. Shipment tons = 230MM
3. Gross profit per ton in aggregates becomes = $12.69, as COGS grow at 2.0%
4. Gross profit from other building products = $115MM
5. DD&A, excluding Lhoist business = $770MM
6. Lhoist business, pre-synergies, grows EBITDA at 5% per annum in 2026, 2027, 2028, 2029, and 2030. $210MM of synergies captured. $1.29bn in 2030.
7. Corporate costs = $480MM
8. All free cash flow in H2 2026, and years 2027, 2028, 2029 and 2030 is used to pay down debt.
9. Tax rate = 20%.
10. Maintenance cap ex = $750MM
11. No bolt-on acquisitions

b. Total EBITDA = $4.614bn
c. Free cash flow: $4.614bn (EBITDA) - $750MM (cap ex) - $200MM (interest) - $730MM (Taxes) = $2.931bn or $41.28 per share.
d. If the company were to maintain 2.5x debt/EBITDA ratio, then it would have $9.0bn through 2030 in cash to deploy for either bolt-on acquisitions or share buy-backs which is 27% of market capitalization.

Management

Skills/quality

Management has done a good job in my opinion by divesting cement assets and aggressively buying construction aggregates. Operationally, the company seems to have done better than Vulcan. The company has maintained a prudent balance sheet after it went into 2008 with too much debt and had to raise equity at the bottom. It seems that the CEO, who has run the company since 2006 has learned his lesson. Having all debt at fixed rate and 15-year maturity on 12/31/2024 was a prudent decision as well. Lhoist acquisition however is a big test.

Incentives

a. 64% of compensation for CEO is in the form of PSU and RSU, and 27% in the form of annual bonus.
b. Most executives own very little stock however the CEO owns more than $100MM worth of shares and has another $13MM in restricted shares. One of the directors owns $15MM worth of stock.

Corporate governance

Historically, index funds were the largest shareholders, and they were no large active investors on the register. Now things are slightly different. The Lhoist family, who sold the lime business to the company, own 15.4% of the shares, TCI led by Sir Chris Hohn owns 1.85%.

Valuation

Absolute

EV / EBITDA on my 2030 forecast, assuming all free cash flow is used to pay down debt and there are zero bolt-on acquisitions or dividends/share repurchases, = 7.8x

2030 free cash flow yield, assuming the company maintains 2.5x debt/EBITDA ratio and uses all free cash flow to buy back shares at today's price = $483, = 10.5%.

Private market valuation

CRH paid 11.5x 2026 adjusted EBITDA including run-rate cost synergies of $175MM for business with a much shorter reserve life - 40 years vs 85 year for MLM. At 11.5x adjusted EBITDA the shares would be worth $705 three and a half years from now.

Sources of additional upside

Ability to create value via acquisitions.

300MM tons of annual production are the priority M&A target which would 2.3x the size of the aggregates business. The company tends to buy assets at 10-15x EBITDA, substantially increase profitability and debt finance the acquisitions. For instance, it increased the size of the business by 4% by buying NFM in Q2 of 2026 for what seems to be around $715MM. Assuming the assets are of the same quality and life as the rest of the company, the company paid roughly 7x EBITDA while its and Vulcan's shares trade at twice the multiple.

Sale of depleted quarries for real estate development can generate substantial cash flow.

Capital structure

Gross Debt = $5.413bn on 12/31/2024 with a 4.0% weighted average coupon and 15 weighted average maturity. 100% fixed rate.

Company issued 5.5bn of fixed rate debt on 08/12/2026 with a weighted maturity of 11 years and weighted interest rate = 5.5%.

It also has AR facility.

Capital allocation

Sold cement and ready-mixed concrete and re-allocated proceeds to buy other aggregates' producers like Albert Frei & Sons, Blue Water Industries, etc.. Company paid $2.05bn for Albert Frei, 13MM tons shipped annually, 800MM tons of proven aggregate reserves, more than 60 years of proven reserves.

Risks:

a. Governments may reduce infrastructure spending in real terms due to budget pressures. A mitigant to this may be private concession activity – like Ferrovial in Tennessee.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Catalyst:

a. Company will present its 2027 forecasts with its Q3 2026 results
b. $5bn+ share repurchase post 2028 if the stock stays where it is today

Messages

Subject Lhoist
Entry 10/04/2026 09:04 PM
Member walter99

Thanks for the pitch, eigenvalue. I've been meaning to look at this company since the Lhoist announcement. You mention the Lhoist acquisition is a big test. Do you have a rationale for the 5% growth plus synergies you model? I know the company gave guidance, but I'm curious if you have more work underneath to support it. Thank you!

Subject Re: Lhoist
Entry 10/04/2026 09:51 PM
Member eigenvalue

Thank you for the question. Lhoist acquisition is the part I am least comfortable, (despite following USLM for more than a decade and reading annuals going back a couple of decades) with that said, here is my rationale:

a) historically MLM exceeded the cost synergies that it forecast

b) analysts mentioned $100-$150MM revenue synergies figure, based on 10-15MM tons of construction aggregates that Lhoist sells, and it is conceivable that MLM's existing lime business will benefit as well.

c) MLM provided 20 year history of its lime mine, in its Q2 2026 presentation, that showed 5.2% annual ASP CAGR and 7% annual gross profit CAGR.

d) It is my understanding that all of the domestic lime end markets are facing favorable tailwinds, including the steel market. Now that can change of course.

e) The lime market just got a lot more concentrated, I think MLM's heritage mine accounted for forty percent of domestic dolomitic lime production. So while MLM was a tiny player in the overall lime market, it was a very big player in the domestic dolomitic lime market. This increase in market concentration should also help with pricing.

Subject Re: Re: Lhoist
Entry 10/04/2026 10:07 PM
Member eigenvalue

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If you look at these links, one is an acquired operation and one is a heritage for MLM. They both produce dolomitic lime, and based on carbon dioxide production data from process emissions, it seems that Lhoist produces roughly 1/3 of the amount of dolomitic lime that MLM produces, and hence MLM may have gone from 40% market share in dolomitic lime to 53%.

Subject two pushbacks
Entry 10/05/2026 07:27 AM
Member Ray Palmer

I can't claim to be an expert on these, but I have spent a little time on them and I'd have two pushbacks.

1. 8.5% FCF on 2030 cash flow is "absurdly cheap": isn't that a ZIRP mindset? In 2015 when LT interest rates were 2-3%, a 3-4 year out equity cash flow yield of 8.5% was definitely cheap. But with LT interest rates over 5%, isn't 8.5% just kind of covering your risk premium
2. Continued pricing above inflation: we all know that these businesses are local monopolies and the benefits from pure shipping cost and the like.... but these can't price above inflation + GDP growth forever (eventually they'd consume the whole economy). At some point, doesn't the pricing power have to slow? After 20+ years, couldn't we be there?